THE MAXWELL STELLAN FOUNDATION

501(c)(3) Formation Roadmap

A step-by-step guide to setting up the Foundation as a U.S. charity

> *In honor of Maxwell, service animal and best friend of eight years. The Foundation works where mental health and environmental protection meet.*

Phase 1 · Before you file anything (weeks 1–2)

1. **Decide on your programs.** The IRS will ask exactly what the Foundation will *do*. Mental health and the environment both count as charitable and educational purposes. Name 2–3 concrete starting programs, for example peer support groups, grants that help people get service animals, nature-based wellness events, or park clean-ups.
2. **Check that the name is free.** Search your state's Secretary of State business database for "Maxwell Stellan Foundation." Also check the domain name and social media handles.
3. **Recruit a board of at least 3 directors.** Most states require three, and the IRS looks better on boards where most members are unrelated to each other. You can chair it. Look for people with skills you'll need, like finance, mental health, or the law.
4. **Know the clinical limit.** If any program provides counseling or therapy, it must be delivered by licensed professionals. Peer support, education and helping people find resources don't need a license.

Phase 2 · Legal formation (weeks 2–4)

5. **File Articles of Incorporation** as a nonprofit corporation with your state (usually $25–$125). The Articles must include:
   - a **purpose clause** saying the corporation is organized exclusively for 501(c)(3) purposes
   - a **dissolution clause** saying any remaining assets go to another 501(c)(3) if the Foundation closes

   Without both clauses, the IRS will reject your exemption application.
6. **Get an EIN** (the Foundation's tax ID number). It's free and instant at IRS.gov. Never pay a third-party site for this.
7. **Draft bylaws and a conflict-of-interest policy.** The IRS asks about both.
8. **Hold your first board meeting.** Adopt the bylaws and policy, elect officers (President, Secretary, Treasurer) and authorize a bank account. Write minutes and keep them.
9. **Open a bank account** in the Foundation's name. Never mix it with your personal money.

Phase 3 · Federal tax exemption (months 1–6)

10. **File with the IRS** online at Pay.gov:
    - **Form 1023-EZ** (fee $275) if you expect less than $50,000 a year in revenue for each of the next 3 years and have less than $250,000 in assets. Approval often comes within weeks.
    - **Form 1023** (fee $600) otherwise. It requires a narrative description of your programs and budget projections, and it often takes several months.
    - File within **27 months of incorporating** so the exemption applies back to your founding date.

> Check IRS.gov for current fees and eligibility before you file, since these change.

Phase 4 · State requirements and ongoing obligations

11. **State tax exemption.** Some states require a separate application for exemption from state income or sales tax.
12. **Registration to ask for donations.** Most states require you to register before soliciting donations, usually with the Attorney General.
13. **Every year:**
    - File IRS Form 990. The version depends on revenue: 990-N if under $50k, 990-EZ if under $200k, the full 990 above that.
    - File your state's annual report.
    - Renew your state charitable registration.
    - Hold board meetings and keep minutes.
14. **Insurance.** Get general liability insurance, plus directors and officers (D&O) insurance once you're running programs.

Want to start before IRS approval?

A **fiscal sponsor** is an existing 501(c)(3) that receives tax-deductible donations on your behalf, usually for a 5–10% fee. It lets you start raising money and running programs while your application is pending.

Rough startup costs

Item	Typical cost
State incorporation	$25–$125
IRS filing fee	$275 or $600
State charitable registration	$0–$100+
Registered agent (optional)	$0–$150/yr

Quick checklist

☐ Programs defined (2–3)

- ☐ Name availability confirmed
- ☐ Board of 3+ directors recruited
- ☐ Articles of Incorporation filed (with purpose and dissolution clauses)
- ☐ EIN obtained
- ☐ Bylaws and conflict-of-interest policy adopted
- ☐ First board meeting held, with minutes
- ☐ Foundation bank account opened
- ☐ Form 1023 or 1023-EZ filed
- ☐ State tax exemption and charitable registration completed
- ☐ Insurance in place

A one-time consult with a nonprofit attorney or CPA is worth it before filing Form 1023. Many areas also have free nonprofit legal clinics. This roadmap is general guidance, not legal or tax advice.